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Yushu Technology Co., Ltd. | Asia Pacific

Catalyst Preview: What's Ahead?

Following our initiation of Yushu ("Unitree"), we preview upcoming catalysts that could affect the share price.

Read our 29 Sep 2026 initiation report: Yushu Technology Co., Ltd. Building a Full-Stack Intelligent Robotics Platform.

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Yushu Technology Co., Ltd. (688836.SS, 688836 CG)

China Industrials | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	Rmb500.00
Up/downside to price target (%)	18.7
Shr price, close (Oct 12, 2026)	Rmb421.29
52-Week Range	Rmb1,100.00-414.95
Sh out, dil, curr (mn)	404
Mkt cap, curr (mn)	Rmb170,397
EV, curr (mn)	Rmb168,954
Avg daily trading value (mn)	Rmb2,483

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.76	1.67	2.39	3.69
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	-	1.60	2.78	4.84
Revenue, net (Rmb mn)	1,699.3	2,785.7	4,771.2	7,537.9
EBITDA (Rmb mn)	340.6	812.7	1,205.9	1,941.0
ModelWare net inc (Rmb mn)	278.2	641.6	966.6	1,492.0
P/sales	-	61.4	35.9	22.7
P/E	-	252.3	176.3	114.2
P/BV	-	18.9	17.4	15.5
RNOA (%)	57.1	58.2	79.0	112.1
ROE (%)	21.7	24.6	10.7	15.2
EV/EBITDA	-	200.1	134.3	82.9
Div yld (%)	-	0.1	0.1	0.2
FCF yld ratio (%)**	-	0.4	0.5	0.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Preview

Company / Catalyst	Date	Importance	Surprise
Yushu Technology Co., Ltd. 688836.SS			
3Q26 earnings and potential earnings briefing	29 Oct 2026	High	| In-line

Takeaways:

- Key to monitor: volume ramp up, 2026/27 year guidance, shipment mix update.
- In 3Q26, we expect ~85% revenue growth, and ~3.7k humanoid shipments.
- For full-year 2026, we estimate Unitree humanoid sales of 14k units, growing to 26k units in 2027.
- On shipment mix, we think most near-term shipments are still from research, entertainment use cases, but gradually shifting to industry application.

Unitree World Physical AI 2026 & Partner Ecosystem Conference	21 Oct 2026	High	↑ Modest upside surprise

Takeaways:

- We see this as reinforcing our thesis that Unitree as a horizontal robotics platform, with the company's ambition to expand its broader ecosystem.
- In order to see further upside, the event needs to showcase Unitree robots across a wider range of applications and progress in embodied intelligence / "brain" development, in our view.

Unitree's new product shipment begins	4Q26	Neutral	| In-line

Takeaways:

- Nvidia Isaac GR00T reference humanoid using Unitree H2 Plus + Sharpa hands + Jetson Thor is expected to ship in late 2026, per Nvidia.
- Wheel-based version R1-D, H2-D and dexterous hand Dex5-S unveiled in June, August and September 2026.
- We think shipments could begin in 4Q26/1Q27; key to monitor will be whether these products can drive more real-use case development.

Tesla Optimus production update	4Q26	High	| In-line

Takeaways:

- We think Tesla remains a global sentiment catalyst, although it is difficult to verify news reports and progress.
- Any production update for Optimus V3 should drive the China humanoid value chain, including Unitree.
- According to The Information (25 Sept 2026), Tesla produced "several hundred robots a week" last month, and aims to have a production line capable of more than 1,000 units per week by year-end.
- According to CLS (Chinese media), 18 September 2026, Tesla visited Chinese suppliers' factory in mid-September and placed a larger order.

First batch of IPO investor unlock	19 Feb 2027	High	↓ Modest downside surprise

Takeaways:

Company / Catalyst	Date	Importance	Surprise

- 2.227mn IPO shares are to be unlocked by 19 Feb 2027, accounted for 0.6% of total shares outstanding or 7.5% of the current free float.
- Strategic placement shares accounted for 2% of total shares outstanding or 26.9% of current free float, to be unlocked in 12-36 months post IPO.

Source:Company data, Morgan Stanley Research

Valuation Methodology and Risks

Yushu Technology Co., Ltd. (688836.SS)

We use a discounted cashflow (DCF) methodology to value the company, assuming 9.3% WACC and 5% terminal growth. Our PT implies 42x P/S in 2027.

Risks to Upside

- Launch a competitive general-purpose robot foundation model
- Repeatable application deployment
- Larger share of customer economics

Risks to Downside

- Hardware competition
- Lagging intelligence performance
- Geopolitical risk

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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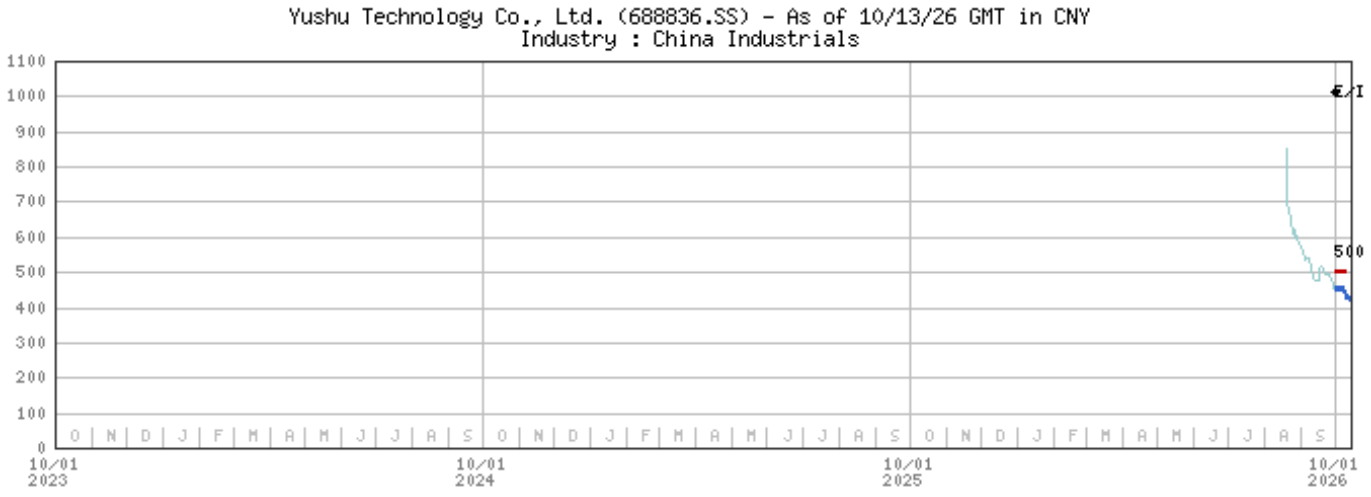
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 9/30/26 : E/I

Price Target History: 9/30/26 : 500

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -• No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/12/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.34
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.23
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.44
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb70.18
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.19
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb78.79
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb41.85
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb92.70
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb48.85
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$6.80
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$5.37
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.39
DR Laser (300776.SZ)	E (12/17/2021)	Rmb98.21
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb26.01
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$17.57
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb31.75
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb83.98
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb34.09
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb252.02
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb17.52
Shenzhen Inovance Technology (300124.SZ)	++	Rmb50.45
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb52.42
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$35.26
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb159.55
Times Electric (3898.HK)	E (01/22/2026)	HK$27.44

WeiChai Power (2338.HK)	O (03/30/2026)	HK$27.34
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb23.87
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb39.70
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb37.88
Yushu Technology Co., Ltd. (688836.SS)	E (09/30/2026)	Rmb421.29
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb51.10
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb20.30
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb36.00
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$5.62
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb6.08

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* Historical prices are not split adjusted.

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